

Inflation matrix: On the numbers and trends

December's price rise numbers do not **ring in** enough relief

In the final inflation **print** before the Union Budget for 2025-26 is presented, followed by the first review of the monetary policy led by the new Governor of the Reserve Bank of India (RBI) in early February, **the price rise** faced by Indian consumers **eased** to 5.22% in December. Although a four-month low, this still **marked** only a **mild** decline from November's 5.5% **uptick** in the **Consumer Price Index** (CPI), and was largely **driven** by a **sequential easing** in food prices. Food inflation **moderated** from over 9% in the previous month to 8.4% last month, and though inflation in vegetables **cooled** from 29.3% to 26.6%, it still remained generally high. Households still **forked out** a lot more for their meals than they did a year ago — it must be **recalled** that overall inflation was 5.7% and food price rise, over 9.5% in December 2023. While **prices** of some food items, including vegetables, **are** seen cooling further this month, those of a few critical ingredients have started spiking, including of **edible** oils, that rose at a 33-month high **pace** of 14.6% in December. Eggs, meat and fruits also saw inflation **accelerating** last month along with the relatively humble potato (up 68.2%). **Moreover**, **inflation** in wholesale prices **has** gained pace, **signalling** that there is **room** for higher costs to be **passed on** to consumers for food items as well as manufactured products.

The government and industry want the RBI to cut interest rates to **reinvigorate** consumption and **fading** growth **impulses** by looking through '**volatile**' food inflation. But even industry captains **admit** that just keeping food prices out of the interest rates and growth-inflation balancing act will not **suffice**. Moreover, even if the **weightage** for food in the CPI is reduced **in line with** the recent household consumption spending survey results, food price trends have a **material** impact on the spending **propensity** of households and their inflation expectations. Inflation may yet average 4.5% through January to March, as the RBI expects, but **the central bank** that has **committed** to **await** a **durable alignment** to its 4% goal before **slashing** rates, **has** a difficult call to make in February. **Tangible measures**, if any, to **ease** price pressures in the Budget, along with some visibility on the Centre's **fiscal glide path**, **could** help **tip the scales** for a rate cut cycle to begin soon, if not next month. There are a few new **imponderables** that have **compounded** the **trade-off matrix** for policymakers in **North Block** as well as Mint Street — the **swift unravelling** of the rupee **vis-à-vis** the dollar in recent weeks which raises the risk of importing inflation, among other **collateral effects**, especially as global oil prices have **resurged** to multi-month highs. A very **nuanced** approach is **imperative** to avoid fresh **missteps**.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.
- **Material** (adjective) – Significant, relevant, pertinent, important, central महत्त्वपूर्ण

Vocabulary

1. **Inflation** (noun) – Price rise, cost escalation, purchasing power erosion, monetary expansion, swelling of prices
मुद्रास्फीति
2. **Matrix** (noun) – Framework, structure, system, grid, environment ढांचा
3. **Ring in** (phrasal verb) – Usher in, introduce, announce, inaugurate, mark the beginning आरंभ करना/शुरू करना
4. **Print** (noun) – Data reading, publication, release, figure, measurement प्रकाशित आंकड़ा
5. **Ease** (verb) – Reduce, lessen, moderate, alleviate, abate कम करना
6. **Mark** (verb) – Indicate, signify, denote, represent, reflect दर्शाना
7. **Mild** (adjective) – Slight, moderate, light, gentle, subtle हल्का
8. **Uptick** (noun) – Slight increase, small rise, upturn, improvement, climb हल्की बढ़त
9. **Consumer Price Index** (noun) – a measure of the average change over time in the prices paid by consumers for a representative basket of consumer goods and services उपभोक्ता मूल्य सूचकांक
10. **Drive** (verb) – Propel, spur, cause, push, lead प्रेरित करना
11. **Sequential** (adjective) – Consecutive, successive, serial, continual, following क्रमिक
12. **Easing** (noun) – Relaxation, reduction, alleviation, moderation, lessening राहत/कमी
13. **Moderate** (verb) – Reduce, lessen, mitigate, tone down, temper कम करना
14. **Cool** (verb) – Decrease, subside, lessen, dampen, ease off कम होना
15. **Fork out** (phrasal verb) – Pay up, shell out, cough up, spend, hand over money भुगतान करना
16. **Recall** (verb) – Remember, recollect, bring to mind, retrieve, call up याद करना
17. **Edible** (adjective) – Fit to eat, eatable, consumable, safe to eat, digestible खाने योग्य
18. **Pace** (noun) – Speed, rate, tempo, velocity, momentum गति
19. **Accelerate** (verb) – Speed up, hasten, quicken, escalate, step up तेज करना
20. **Moreover** (adverb) – Furthermore, besides, in addition, also, likewise इसके अलावा

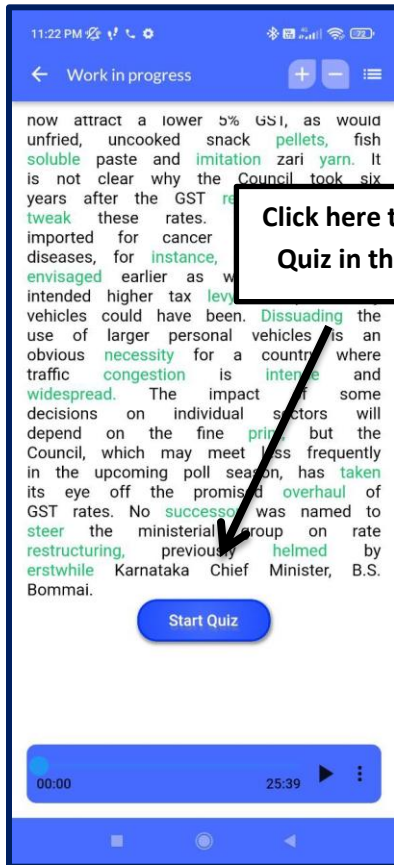
21. **Signal** (verb) – Indicate, show, suggest, hint, reveal संकेत करना
22. **Room** (noun) – Space, scope, leeway, capacity, margin गुंजाइश
23. **Pass on** (phrasal verb) – Transfer, hand over, convey, transmit, shift आगे बढ़ाना/सौंपना
24. **Reinvigorate** (verb) – Revitalize, rejuvenate, refresh, revive, energize पुनः सशक्त करना
25. **Fading** (adjective) – Diminishing, declining, weakening, receding, waning कमजोर पड़ता हुआ
26. **Impulse** (noun) – Stimulus, drive, impetus, urge, motivation प्रेरणा
27. **Volatile** (adjective) – Unstable, fluctuating, erratic, unpredictable, changeable अस्थिर
28. **Admit** (verb) – Acknowledge, concede, accept, confess, allow स्वीकार करना
29. **Suffice** (verb) – Be enough, be adequate, meet requirements, do, serve पर्याप्त होना
30. **Weightage** (noun) – Significance, importance, emphasis, priority, proportion महत्त्व
31. **In line with** (phrase) – In accordance with, consistent with, in harmony with, in keeping with, matching के अनुरूप
32. **Propensity** (noun) – Tendency, inclination, proclivity, bent, predisposition प्रवृत्ति/झुकाव
33. **Commit** (verb) – Pledge, promise, dedicate, devote, undertake प्रतिबद्ध होना
34. **Await** (verb) – Wait for, anticipate, expect, look forward to, be pending प्रतीक्षा करना
35. **Durable** (adjective) – Long-lasting, enduring, stable, robust, tough टिकाऊ
36. **Alignment** (noun) – Arrangement, positioning, coordination, agreement, orientation संरेखण
37. **Slashing** (adjective) – Drastic, severe, steep, radical, sharp अत्यधिक कटौती करने वाला
38. **Tangible** (adjective) – Concrete, real, substantial, measurable, palpable ठोस
39. **Ease** (verb) – Lessen, alleviate, reduce, moderate, relieve कम करना
40. **Fiscal glide path** (noun) – A planned approach to gradually reduce or adjust government fiscal deficits over time राजकोषीय घाटे को धीरे-धीरे कम करने की योजना
41. **Tip the scale** (phrase) – Decide the outcome, swing the balance, be the determining factor, influence decisively, shift the result फैसला करना/रुझान बदलना

42. **Imponderable** (noun) – Unknown, intangible, enigma, uncertainty, variable
अपरिमेय/समझ से परे तथ्य
43. **Compound** (verb) – Worsen, exacerbate, intensify, aggravate, amplify और
बढ़ाना/गंभीर करना
44. **Trade-off matrix** (noun) – Cost-benefit framework, decision balance sheet, compromise comparison, outcome assessment chart, pros-and-cons table लेन-देन संतुलन संरचना
45. **North Block** (noun) – The building housing India's Ministry of Finance and other key economic offices वित्त मंत्रालय और अन्य प्रमुख आर्थिक कार्यालयों का मुख्य भवन
46. **Swift** (adjective) – Quick, rapid, fast, speedy, prompt तीव्र
47. **Unravelling** (noun) – Disintegration, breakdown, collapse, disentangling, coming apart विघटन
48. **Vis-à-vis** (preposition) – In relation to, with regard to, compared with, concerning, regarding की तुलना में/के संदर्भ में
49. **Collateral effect** (noun) – Side effect, secondary impact, knock-on effect, indirect consequence, spillover परोक्ष प्रभाव
50. **Resurge** (verb) – Reappear, revive, rebound, reemerge, come back फिर से उभरना
51. **Nuanced** (adjective) – Subtle, delicate, finely shaded, refined, slight सूक्ष्म विश्लेषणपूर्ण
52. **Imperative** (adjective) – Crucial, essential, urgent, necessary, vital अत्यावश्यक
53. **Misstep** (noun) – Error, mistake, slip, blunder, lapse चूक

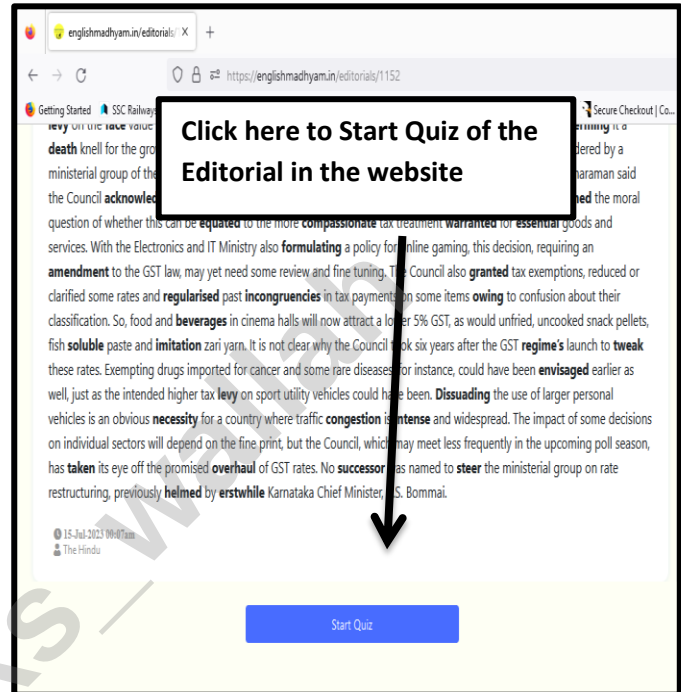
Summary of the Editorial

1. **December Inflation Eased Marginally:** Consumer price inflation in December 2024 moderated to 5.22%, a four-month low but only slightly down from November's 5.5%.
2. **Food Inflation Declined but Remains High:** Food inflation eased from over 9% in November to 8.4% in December, with vegetable inflation cooling from 29.3% to 26.6%.
3. **Year-on-Year Price Pressures Persist:** Despite the easing, households faced higher costs for meals compared to December 2023, when food inflation exceeded 9.5%.
4. **Critical Items See Spikes:** Prices for essentials like edible oils (14.6% rise), eggs, meat, fruits, and potatoes (68.2%) surged in December.
5. **Wholesale Price Inflation Rising:** An uptick in wholesale inflation signals potential for higher consumer prices in both food and manufactured products.
6. **Interest Rate Debate:** The government and industry are urging the RBI to cut rates to boost consumption and growth despite volatile food inflation.
7. **Food Prices' Broader Impact:** Food price trends significantly influence household spending behavior and inflation expectations, beyond just CPI weightage.
8. **RBI's Cautious Stance:** While inflation is expected to average 4.5% from January to March, the RBI is committed to achieving a durable alignment to its 4% target before cutting rates.
9. **Budget's Role:** Measures in the Union Budget to ease price pressures and clarity on fiscal policy could pave the way for a potential rate cut cycle.
10. **Exchange Rate Concerns:** The recent depreciation of the rupee against the dollar heightens the risk of imported inflation, especially with global oil prices surging.
11. **Oil Price Volatility:** Multi-month highs in global oil prices pose additional challenges for inflation management.
12. **Fiscal and Monetary Trade-offs:** Policymakers face tough trade-offs in balancing growth, inflation control, and external risks.
13. **Household Consumption Insights:** Updated consumption survey results could lead to a revised CPI weightage for food, but its influence on inflation dynamics remains substantial.
14. **Economic Growth Concerns:** The fading growth momentum and high inflation complicate policy decisions on both fiscal and monetary fronts.
15. **Nuanced Policy Needed:** A carefully calibrated approach is essential to avoid missteps in managing inflation, growth, and external vulnerabilities.

Practice Exercise: Banking Pattern Based



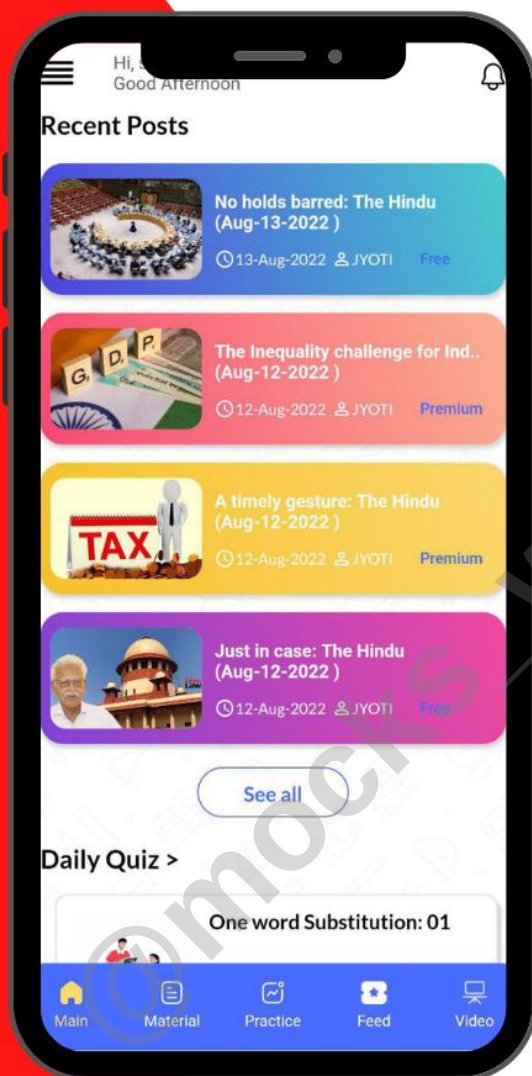
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